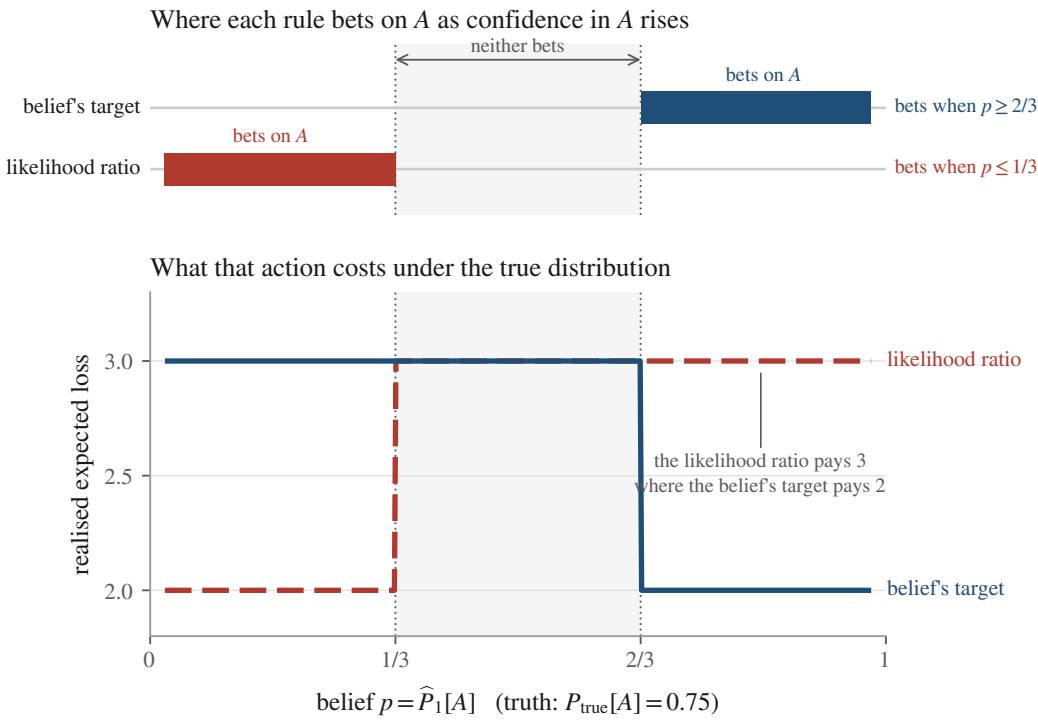
Where each rule bets on A as confidence in A rises
neither bets
bets on A
belief's target
bets when p ≥ 2/3
bets on A
likelihood ratio
bets when p ≤ 1/3
What that action costs under the true distribution
realised expected loss
3.0
2.5
2.0
likelihood ratio
the likelihood ratio pays 3
where the belief's target pays 2
belief's target
0
1/3
2/3
1
belief p = P̂1[A] (truth: Ptrue[A] = 0.75)